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Editors
Econometrica
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Dear Editors:

I am pleased to submit the manuscript entitled “*Unique Equilibrium Can Be Cheaper than Unique Rationalizability in Team Contracting*” for consideration for publication in *Econometrica*.

The paper resolves a question posed by Halac, Lipnowski, and Rappoport concerning team technologies that combine complementarities and substitutabilities. It proves that making full effort the unique Bayesian Nash equilibrium can be strictly cheaper than making work every type's unique interim-correlated-rationalizable action. For a parametric three-agent family, the two implementation values are computed exactly: the equilibrium value is 3, whereas the rationalizability value is $9(\alpha + \kappa)/(3\alpha + 2\kappa) > 3$. These values optimize over all finite common-prior private-contract schemes with arbitrary type correlation, and the paper proves that three agents are minimal.

Beyond the separating example, the paper develops a general geometric comparison. Both implementation standards minimize the same reciprocal-cost objective, but over two nested marginal-product polytopes. A reciprocal-bonus potential yields the coalition-polytope lower bound for equilibrium uniqueness under arbitrary correlated private contracts, while a deletion-time argument and a finite shifted-rank construction identify the smaller ranking polytope for unique interim correlated rationalizability. The resulting framework also recovers the equality of the two values for supermodular and submodular technologies and explains the strict gap as the cost of requiring an acyclic deletion certificate rather than excluding alternative fixed points globally.

The manuscript is intended for *Econometrica* because its contribution lies jointly in contract theory, game theory, mechanism design, and organizational economics, and because the main result combines an economically substantive implementation distinction with exact and reusable mathematical structure. The manuscript presents original theoretical results and uses no data or computational experiments, so no replication files are required.

For editorial assignment, I respectfully disclose that Marina Halac is a coauthor of the paper whose explicit question is answered by this manuscript. To avoid any actual or perceived conflict, I request that the submission be handled by another editor.

Thank you for your consideration.

Sincerely,

Yi C. Huang